

JPM | APAC THEMATICS - Bond Intervention: 5x key points / Memory: Hynix buyback accelerates / Gold: +4%, an asset for all seasons / India: Voice call at 4pm today / Asia: Debating the Dutch disease

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APAC Thematics focuses on key macro views, market debates, and favoured investment themes.

Bond yields lower on US Treasury intervention. The 30y UST yield fell 9bps overnight after the US Treasury announced they will double the size of their buybacks (to at least \$4bn per operation). This is a timely reminder the US govt will intervene to taper price action they consider extreme in Treasury yields and liquidity markets - and is the main reason not to extrapolate near-term bond market hysteria.

But intervention impact is limited in the long-run. As we've seen in Japan/UK... intervention works short-term, but is less impactful in the long-run. And with the demand for capital rising (elevated fiscal deficits and AI infra build-outs)... the underlying upward pressure on real yields is likely to continue. More and more countries are accordingly bumping-up against their "loose policy" fiscal limits.

Memory buybacks - Hynix to buyback W40tr. This is equal to \$29bn and will take place over the next 3 months. This equates to 63% of trailing 12 month FCF - and is likely just the beginning, with management committing to pay-out 'at least' 50% of 25-27 FCF as TSR. For reference, Jay Kwon estimates Hynix will generate \$800tr of FCF over 2026-28, and the stock trades on 3.7x 27 P/E (JPMe).

Gold - Up 4% and an asset for all seasons. The latest pop was on the US Treasury intervention. But the most durable long-term thesis for gold is its appeal as a 'reserve alternative'... at a time when (I think) the PBOC is keen to position gold as the premier global reserve asset (at the expense of the dollar). If the PBOC is going to keep buying, so should we. Zijin Mining top pick on 4x 27 EV/EBITDA.

From the franchise... (i) We will host a India cross-asset Voice Call today at 4pm HK with our economist and cross asset strategy teams, to discuss the more constructive outlook, (ii) ASEAN strategist Khoi Vu sees Indonesia's 27 budget proposal as prudent but recommends to stay defensive, (iii) Economist Sajjid Chinoy debates the 'Dutch disease' and if this will weigh on N-Asia's non-tech sectors.

**** Finally... I'm on the road today so apologies for any delays in responding to questions ****

THE BIG PICTURE...

(1) BOND INTERVENTION - Yields sharply lower as US Treasury intervenes, 30y -9bps. US bond yields are down sharply overnight after the US Treasury said it will "at least double" the size of its buyback operations for longer-term US bonds (from \$2bn per operation to at least \$4bn). Under the accelerated buyback, the Treasury will target the more liquidity sensitive 10-30y

portion of the market - a move which saw the 30y UST yield fall 9bps to 5.19% (biggest 1 day drop since Oct). A few thoughts to put things in perspective:

(i) *The Treasury as a buyer of bonds* - While the US govt is a large net borrower... the Treasury Dept is clearly sensitive to bond yields, so they also buy bonds in the market... typically for liquidity support and cash management purchases. The overnight announcement shows they will intervene when they think volatility is excessive - as keeping liquidity markets functioning is a core focus (and the unofficial 3rd mandate for the Fed). While the size at \$4bn is small in absolute terms and relative to the financing needs of either the govt or AI infrastructure investors, the move is intended as a clear signal to the market that the US govt can and will step-up intervention as required.

(ii) *Governments act when needed* - Yes... there are fundamental reasons why bond yields should be high - fiscal profligacy, sharply rising AI capex, behind the curve central banks, etc. But... Govt's are not passive participants. History has shown, time and again, that they will (a) intervene in bond markets, (b) expand financial repression policies, (c) adjust fiscal spending plans... to "find a way" through. The ratio of intervention (bullying the market) vs policy adjustment (responding to the market) varies depending on where we are in the cycle and which country is under consideration - but finding a way through, is the constant.

(iii) *Beware of short-term bond market hysteria* - We mentioned yesterday ([link](#)) "market observers calling for debt-driven equity routs should come with the same health warning as economists-at-large who have called for 10 of the past 2 recessions. More often than not... near-term debt-mageddon concerns are overblown, and the impact on equity markets exaggerated". The policy action overnight is another reminder on the first point, that near-term calls for debt-mageddon concerns are often overblown. The govt (and/or associated CB) sets the rules of the game in the short term. This is not a market where all participants are equal.

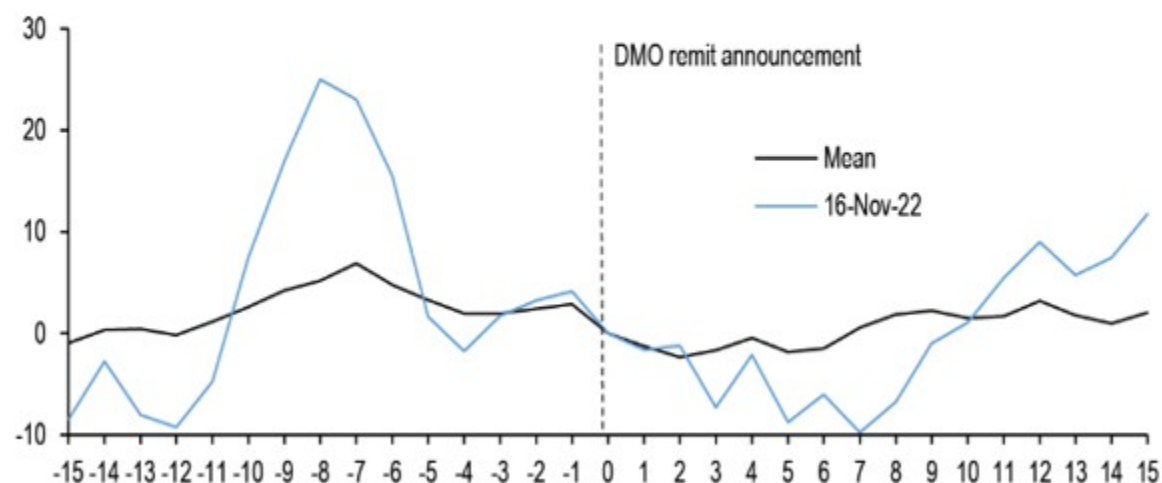
(iv) *But loose policy is hitting market limits* - Buffett says markets are a "voting machine" in the short-run but a "weighing machine" in the long-run. And while the Govt can swing the near-term vote... longer-term, markets are driven by underlying S/D. And what the simultaneous rise in long-end yields across many DM shows us, is the extent of fiscal excess & monetary complacency is starting to run up against limits. As a result, the extremely loose policy backdrop in the post-Covid era (a clear positive tailwind for equities) has likely hit its limit. We seen this in Japan and the UK - and now we're seeing it in the US too. My baseline assumption = policy will stay loose in absolute terms, but start to tighten at the margin (in response to hitting fiscal limits)

(v) *Lessons from Japan and the UK* - As with the recent Japan interventions, the US Treasury's actions belie the underlying structural challenges and do nothing to address them. As a result, such policy actions can help taper near-term pricing and volatility, but market pressures will remain if fundamentals don't change. JPM US rates strategist Jay Barry ([link](#)) believes the overnight action only addresses the symptom, not the cause (a 6% plus fiscal deficit at a time when AI capex is strong and there's limited slack in the system with unemployment low and inflation elevated). From here, a reduction in long-end issuance is also possible - a similar strategy the UK has taken (down to 9% of issuance today vs 28% in April 2022)... as they reduce the tenor of borrowing, but this often doesn't have a lasting impact. As we see in the UK - base rates are 175bps below the local peak, but long-end Gilt yields are near multi-decade highs.

INTERVENTION IMPACT: Reduces over time. Take the UK... the 5/30y curve flattens post DMO issuance shifts, but it has limited LT impact.

Figure 5: UK 5s/30s curve flattened around DMO remit and UK budget announcements since November 2022, but only lasted a couple of weeks

Average change in UK Gilt 5s/30s slope indexed to 0 on the day of the DMO remit; bp



Note: Dates since November 2022. 12 instances.

Source: J.P.Morgan; UK DMO

(2) MEMORY - Hynix \$29bn buyback broadly inline with expectations. Hynix announced they will buyback/cancel W40tr (\$29bn) of T-shares over the next 3 months (3.7% of market cap). This is part of a broader pledge to lift shareholder returns to at least 50% of cumulative FCF from 2025-27 (a notable step-up from the up to 50% previously). Analyst Jay Kwon ([link](#)) notes the W40tr buyback & cancellation is the largest among Korean listed companies, higher vs the \$26.5bn raised via the ADR back in July, and equal to 63% of trailing 12m FCF. However, Asia tech spec sales Duncan noted the W40tr buyback was around what the market thought - so the announcement is positive in absolute terms - but not a positive surprise. The Hynix ADR traded accordingly +3% at the open but closed flat. Beyond the buyback debate, we continue to see attractive value in the memory sector & believe the duration of the memory upcycle has room to run through 2027. Jay forecasts W800tr of FCF generation in the 3 years of 2026-28... so expect more TSR announcements to follow (next one = likely at 3Q results). Given this backdrop, we find Hynix attractively valued on 4.5x 26 P/E and 3.7x 27 P/E.

(3) INDIA VOICE CALL.... 4pm today on macro & cross-asset strategy. Is the narrative around India's growth cycle starting to turn more constructive? Over recent months, we've discussed the case to buy the Indian banks - with valuations attractive & foreign positioning light... but with NII growth sequentially recovering, system credit re-accelerating, and EPS revisions turning positive. Hats off to analyst Anuj who called the rebound well. JPM's India equity strategist Rajiv Batra has also highlighted EPS green-shoots now extend beyond the banks - with India's Jun-Q earnings season off to a strong start (PAT +16% y/y) - especially in the domestically skewed small/mid cap segment of the market (PAT +40% y/y). To discuss the 'more constructive' outlook in further detail - join our cross-asset Voice Call at 4pm HK today with India Economist (Sajjid), Equity Strategist (Rajiv), FX Strategist (Arindam) and Equity Head of Research (Sanjay) - [register](#).

(4) GOLD... Continues to look like an asset for all seasons. Gold prices rallied another 4% overnight on the back of the US bond intervention. In the short term, gold prices are inversely correlated to real yields - as some view gold primarily as a "fiat alternative." However, the more enduring thesis for gold, and the primary reason why I am bullish... is because of gold's appeal as

a "reserve alternative" - for central banks and asset owners in a world of geopolitical fragmentation and high fiscal debts/deficits. More specifically, I see it as a reserve asset that China will keep buying - because Beijing wants to position gold as a premier reserve asset globally (ahead of the USD). Miners remain attractively valued on P/E and EV/EBITDA - Zijin Mining remains my favoured long in the Asia gold large-caps, trading on 8.8x 27 P/E and 4.3x 27 EV/EBITDA on JPM estimate (see valuations vs historical norm below).

ZIJIN MINING: Gold is rallying... yet it trades near historic low valuations on P/E and EV/EBITDA (consensus 12m forward) = Buy the rebound.



Market Commentary:

US OVERNIGHT - S&P +0.2% as yields/dollar falls on Treasury intervention. US equity markets rebounded as yields and the dollar fell on the US Treasury's intervention. Health Care, Discretionary, Materials & Staples led the upside, while Industrials, Tech & Financials lagged. On the rates front, 2y was little changed (-1bp to 4.16%) but 10y dropped -5bps to 4.65%, with the VIX -6% to below 15. In commodities, oil rallied as markets priced in a more prolonged Hormuz disruption amid rising shipping risks, while gold surged to the highest since early June on the rates move. In single stock, Moderna +177% was the clear outlier on positive melanoma-trial news (mRNA neoantigen therapy combo with Keytruda). We also saw big gains from Estée Lauder +16% on their EPS beat and margin expansion, and Marvell +10% on a unique Google deal (rights to buy up to \$12.2bn of shares tied to chip purchases). On the flip side, Nebius -10% slipped on a large CB raise to DC buildouts, Wolfspeed -8% fell and was down further after-market after guiding to weak 1Q metrics. Semis were mixed with Nvidia slightly lower despite a modest China H200 easing headline and Micron flat as another China memory IPO story circulated.

Themes & Macro:

INDONESIA STRATEGY - A prudent budget... will help reduce market volatility (Khoi Vu). A conservative 2027 budget with a smaller fiscal deficit to GDP target (2.4% vs. 2.85% in 26) should help reduce the volatility in Indonesia's equities and currencies. The reduction in the fiscal gap is expected to be underpinned by a deceleration in spending (+4% y/y) alongside revenue expansion (+7% y/y). Low foreign positioning, high domestic cash holdings and undemanding valuations should limit further drawdowns. However, headwinds remain ahead. Although 1H26 aggregate earnings grew 6% y/y and results were broadly in line with our expectations, consensus has already cut 2026 EPS and now expects a 0.9% decline before a 8.7% rebound in 2027. MSCI/FTSE index risks also remain. As a result, we recommend a defensive stance, with an OW on Telcos and a focus on Quality among our top picks - BBKA, ASII, ICBP, ANTM, ISAT and MAPA ([link](#)).

APAC MACRO - Asia and the Dutch disease... the dog that hasn't barked yet (Sajjid Chinoy). The AI boom is having an unprecedented impact on Asian growth, exports, and fiscal & current account surpluses. Large current account surpluses should ordinarily have induced nominal currency appreciation pressure, and associated fears of a 'Dutch disease' in non-tech sectors. Instead, key tech currencies have weakened as capital outflows have overwhelmed current account surpluses. Looking forward, though, challenges remain. A highly capital intensive AI build-out is accentuating K-shaped growth in the region and will put pressure on fiscal authorities to redistribute part of the AI windfall. In short, policy makers will face a delicate trade-off, (i) Fiscal conservatism that accentuates imbalanced growth, or (ii) Pro-cyclical fiscal spending that pressures inflation, strengthens the real exchange rate, and renews fears of a Dutch disease ([link](#)).

Flagship Conferences:

INDIA CONFERENCE - 21-22 Sept, Mumbai (St Regis). JPM will host our 11th annual India Conference - featuring a high profile line-up of panelists (government and c-suite), 100 companies, and over 1000 delegates. Keynote plenaries, panel discussions and 1x1 meetings will take place on Mon 21 and Tues 22 Sept, followed by 6x thematic tours on Wed 24 to Fri 26 Sept ([register](#)).

TECH, INNOVATION & GROWTH (TIG) - 16-18 Nov, Hong Kong (Grand Hyatt). This flagship conference will bring together investors and industry leaders for two days of keynotes, panels and presentations (Nov 16–17), and 3x days of investor access meetings (Nov 16–18). We expect 300 companies and 2000 delegates to join us to discuss some of the most exciting growth opportunities in APAC ([register](#)).

APAC RETURNS - Leaders vs laggards...

Pan-APAC Thematics

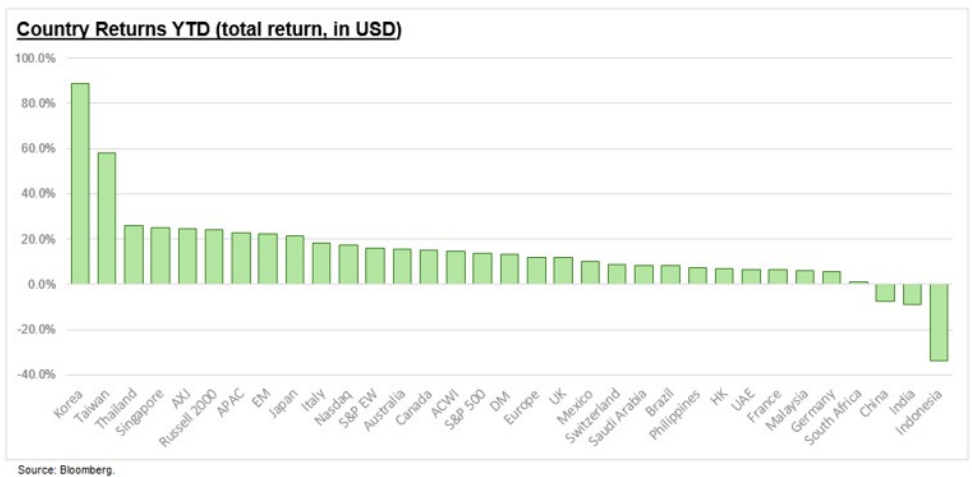
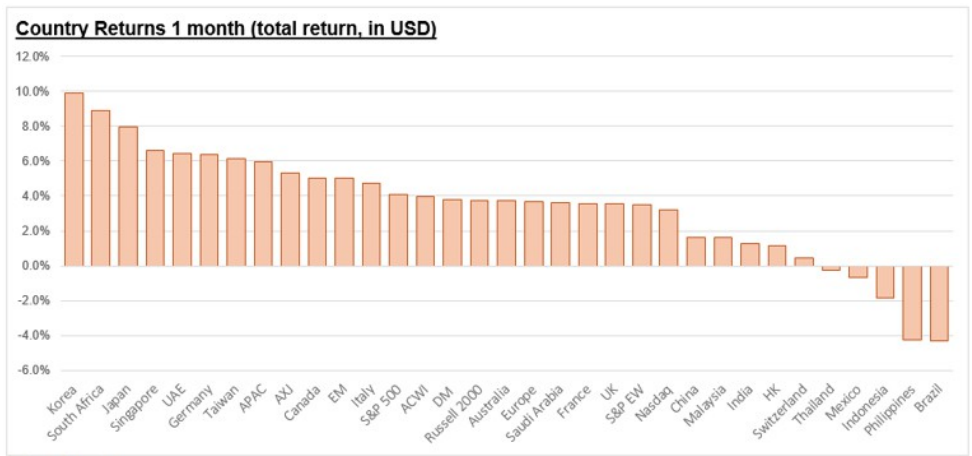
Asia Thematics (pan-APAC) - Leaders vs Laggards (1 month, % in USD)						
JPM Asia Basket	Index	1M	3M	YTD	1Y	2Y
Asia Gold Miners	JPAAGOLD Index	31%	11%	-4%	48%	113%
Asia CPU Supply Chain	JPAACPU Index	26%	15%	105%	171%	264%
Asia Consumer Electronics	JP1XACEH Index	23%	48%	60%	29%	43%
Asia Shipping	JPAASHIP Index	22%	25%	36%	27%	53%
Asia ex Japan Uranium/Nuclear	JPAJUMNC Index	20%	-12%	21%	48%	124%
Asia Trainium Supply Chain	JPAATRNS Index	19%	10%	72%	116%	280%
Asia TPU Supply Chain	JPAATPUS Index	18%	15%	101%	168%	217%
Asia ChatGPT (Q)	JPAPCGPT Index	-2%	-15%	5%	34%	135%
Asia REITs	JPAAREIT Index	0%	2%	-4%	-2%	14%
Asia Naphtha	JPAANAPH Index	0%	4%	14%	29%	20%
Asia ex Japan Defensives	JPAJDEFS Index	0%	-1%	4%	3%	19%
Asia Airlines	JPAALINE Index	0%	5%	-8%	-3%	22%
Asia Financial Exchanges & Data	JPAAFIND Index	1%	2%	-1%	-11%	85%
Asia Silicon Carbide	JPAASICB Index	1%	0%	51%	70%	71%

Source: Bloomberg.

Country-Specific Thematics

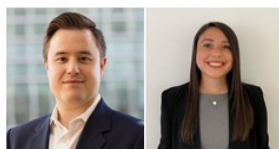
Asia Thematics (country-specific) - Leaders vs Laggards (1 month, % in USD)						
JPM Asia Basket	Index	1M	3M	YTD	1Y	2Y
Taiwan Cold Plate Cooling Components	JPTBCOOL Index	47%	27%	51%	117%	211%
China Gold	JPCHGOLD Index	37%	11%	5%	46%	174%
Korea Robotics	JPKBROBO Index	31%	-18%	-15%	71%	228%
Taiwan Computer & Peripherals	JP9TCMP Index	30%	34%	72%	94%	152%
Australia Gold	JPOZGOLD Index	30%	10%	7%	76%	133%
China Health Care CDMO	JPCHCDMO Index	29%	53%	55%	46%	142%
China Education	JPCHEDUC Index	29%	4%	0%	-3%	6%
AUS Low Volatility (L/S)	JPOZLVO Index	-17%	-12%	-6%	0%	-18%
China AI Chips	JPCACHIP Index	-11%	-20%	22%	52%	176%
Japan Semi	JPJBSEMI Index	-8%	11%	72%	146%	157%
Korea Brokers	JPKBBRKE Index	-7%	-16%	10%	35%	104%
China Airlines	JPCHAIRS Index	-7%	-18%	-47%	-25%	16%
China Fitness	JPCHFITS Index	-7%	-15%	-24%	-26%	-6%
China A Insurance	JPCAINSU Index	-6%	0%	-16%	-5%	49%

Source: Bloomberg.



Best, Matt

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